Bachatt today: entry is clear, the future is contested

Memo for Piyush · From Sandeep · 19 October 2026 · Should we launch a challenger, and where do we fight?

Bachatt Model

Acquisition + Retention + Servicing

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Savings product through debt funds	✓ Financial products (MF, Insta Fund, Gold/Silver)	✗ ① AI financial planning
✓ Online acquisition	✗ Wallet-like: save in / withdraw out	✓ ② Lean DSA + digital
✗ Offline acquisition	✓ Daily / flexible SIP for irregular incomes	✓ ③ Loans on book*
✓ Low-ticket entry (~₹250)	✓ No lock-in, instant withdraw	✗ ④ 3-month EMI + gold loan
✓ → Digital loans through DSA		

Vision → go-to financial planning app / wallet (save in, withdraw out, finance purchases)

Power move: own the customer relationship + money flows → EMI on products deepens habit and data

* Bachatt's site says partner NBFCs disburse its loans (XL-12), so "loans on book" needs verifying.

✓ ENTRY IS CLEAR
Every ✓ square can be copied: table stakes, not a moat

→

✗ FUTURE IS CONTESTED
Wallet, AI, EMI, gold loans, loans on book: where the value is won

→

★ OUR ENTRY
Online-first to match; ~20% offline to test the contested squares

HOW WE'D ENTER: ONLINE-FIRST, WITH OFFLINE AS A TEST

ONLINE CORE · ~80% of savers
App + UPI daily SIP + digital loans: matches every ✓ square

OFFLINE TEST
~20% of savers

ONLINE: match, then out-credit
Parity with Bachatt's ✓ squares in 6–9 months
Edge: credit from the daily savings record

OFFLINE: try it and find out
Does a person lift retention, reach, gold loans?
Month 6: grow, hold or drop the arm

Recommendation: launch **online-first** and match the ✓ squares in 6–9 months. Compete where Bachatt is thin: **committed savers in one segment**, and **credit priced from their savings record**. Run **~20% offline** as a test arm; 6 months of data decide whether it grows.

What we found, in five numbers

FIVE NUMBERS THAT SHAPE THE CALL

₹167

invested per Bachatt user (₹50 Cr ÷ 3M users, company claims)

At a 0.35% trail that earns ₹0.6 a year. Savings is the hook; credit is the business.

BAC-02/04, XB-04

36%

of SBI's ₹250 daily SIPs started in FY26 had stopped by year-end

Small savers are easy to sign and hard to keep: Chhoti SIPs close ~7 for every 10 opened.

NG-033, NG-034

43%

of savers must take a DSA loan just to repay a ₹500 acquisition

Paytm's merchants sit at ≈5%. Sharing loan risk cuts the bar to 18%; an LSP's to ~10%.

XL-13, XL-29, SE-05, LEV-061, XB-06 (derived); ₹500 per saver is our estimate

2% vs 9%

bad loans: SHGs that save before borrowing vs microfinance

Saving may predict repayment, but it's correlational; a US trial found no average effect.

EVD-03 (2.05% vs 8.72%), EVD-01

₹10/day

PhonePe Daily Savings, built with Jar (October 2024)

The UPI giants already sell the ground floor; a challenger wins on depth, not reach.

SAV-08, JAR-06/07 (Jar: 35M registered, profitable)

The race is not to sign the most savers. It is to keep committed savers, and to prove their saving predicts repayment before anyone else does.

1 · Entry is clear: anyone can build the ground floor

THE CONTESTED FLOORS: value is won here

- ✗ Offline acquisition
- ✗ Wallet: save in / out
- ✗ AI financial planning
- ✗ 3-month EMI + gold loan
- ✗ Loans on book*

THE GROUND FLOOR: Bachatt's ✓ squares, which anyone can build

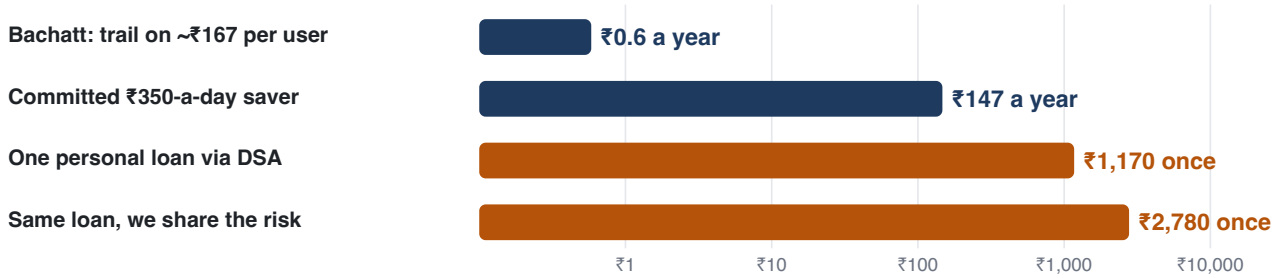
✓ Debt-fund savings	✓ Online acquisition	✓ Low ticket, daily SIP	✓ Fund shelf	✓ Instant withdraw	✓ DSA loans
ARN ₹40k (REG-036)	≈₹500 per saver*	UPI auto-debit	MF, Insta, gold funds	≤ ₹50k a day (REG-041)	1–3% fee (XL-13)

* online cost per activated saver is our estimate; Bachatt's 'loans on book' is unverified (XL-12)

≈ 6–9 months to match

Copying Bachatt's ✓ squares gets us parity at best. The market will be won on the contested floors.

WHY THE UPPER FLOORS MATTER: WHAT ONE USER IS WORTH (₹, LOG SCALE)

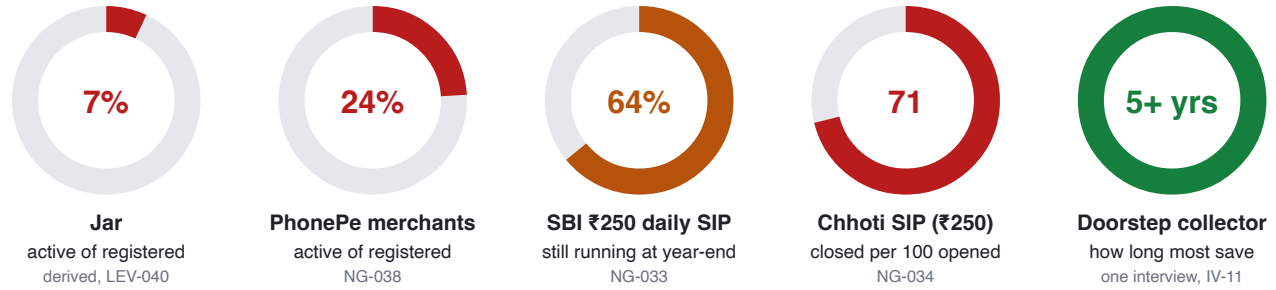


Sources: BAC-02/04, XB-04 (trail 0.2–0.5%), XL-13, XL-29 (₹58,522 average loan), SE-05/XB-07 (4.5–5%). The ₹350-a-day saver is our illustration.

Savings trail is under ₹1 a user a year at Bachatt's visible balances (~₹167 a user). One loan is worth more than years of trail.

2 · Savings is the hook, not the business

THE LEAK: SMALL SAVERS ARE EASY TO SIGN, HARD TO KEEP



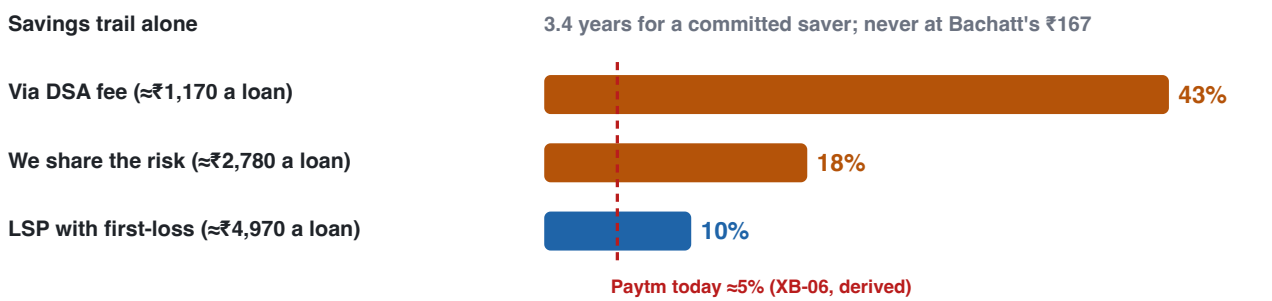
3M users × ₹167
what Bachatt reports

→ if Bachatt looks like Jar (~7% active)

≈2 lakh savers × ≈₹2,400
a small, deeper core (our read; NG-032: no active count)

Small-ticket savers leave apps and SIPs fast; the one doorstep collector we spoke to keeps most for 5+ years. Bachatt's 3M is sign-ups: it publishes no active count.

WHO PAYS FOR A ₹500 SAVER? SHARE OF SAVERS WHO MUST BORROW ONCE TO REPAY IT

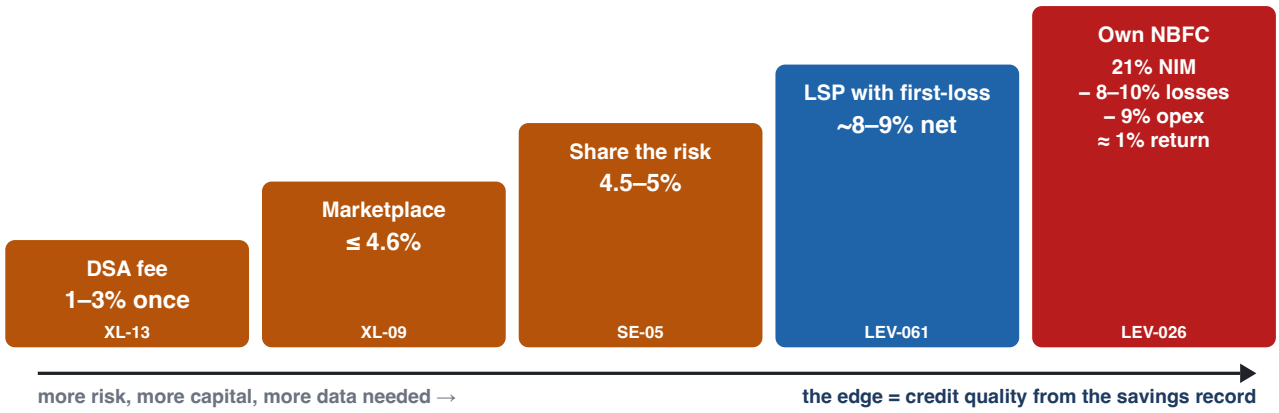


And it must happen early: a third of small-ticket savers stop within the year (NG-033). Sources: XL-29, XL-13, SE-05, LEV-061; ₹500 is our estimate.

Savings can't repay what a saver costs to win. Whoever wins has to climb the credit ladder, with savers who stay long enough to borrow.

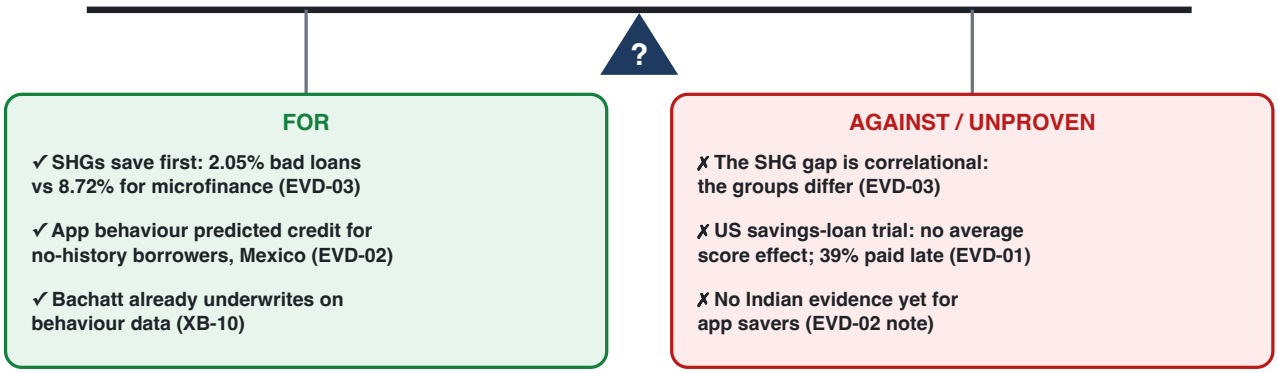
3 · The money is in credit; the edge is the signal

THE CREDIT STAIRCASE: EACH STEP EARNS MORE, AND CARRIES MORE RISK



A licence alone doesn't make an NBFC profitable: fintech NBFCs keep about 1% after losses. Credit quality decides it.

DOES SAVING PREDICT REPAYMENT? THE BET EVERYONE IN THIS SPACE IS MAKING

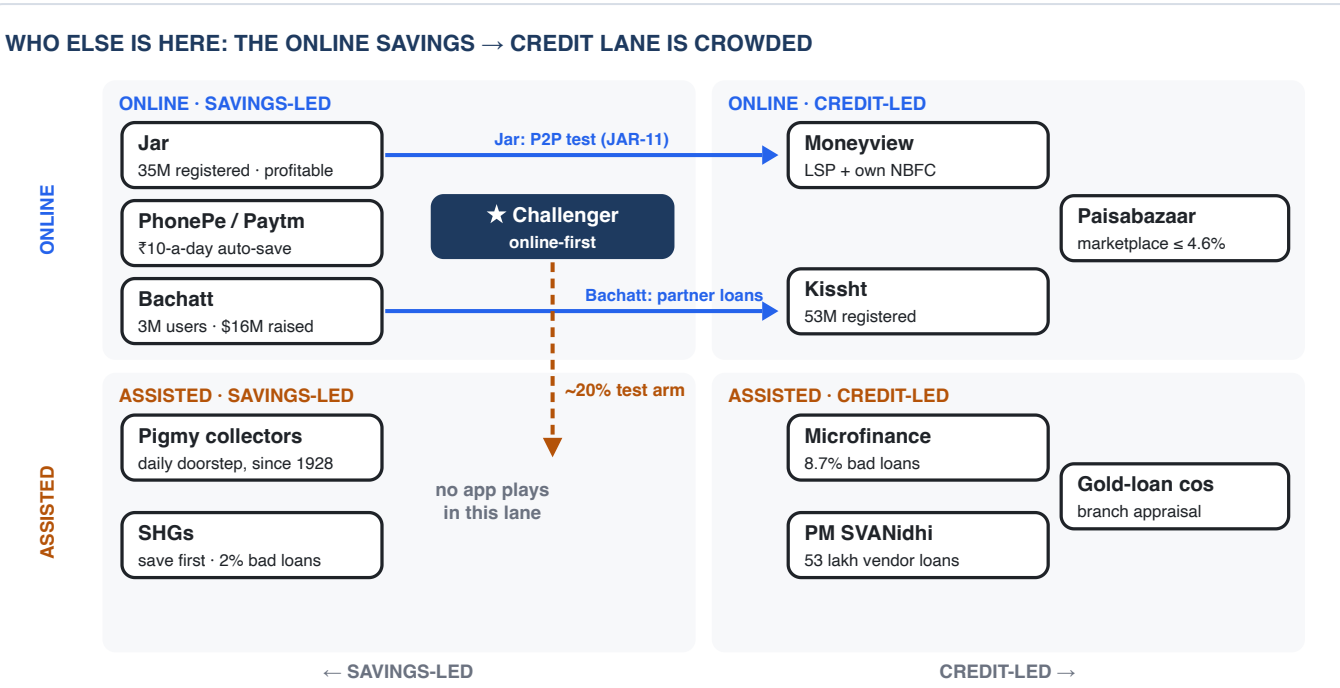


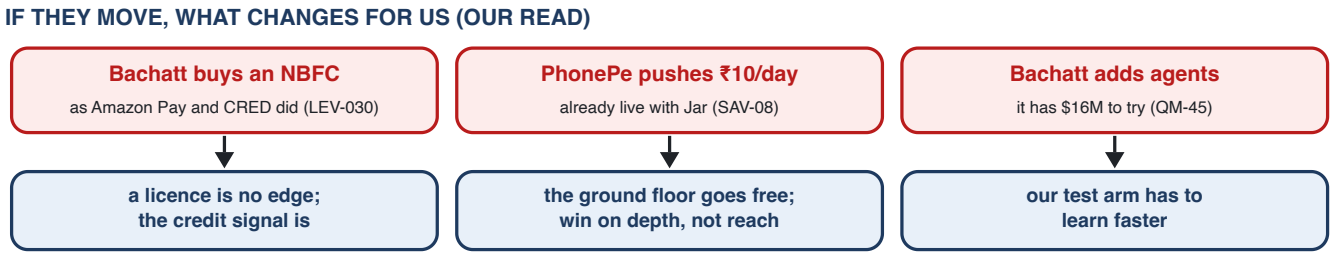
Why it matters: 55% of new small-business borrowers are new to credit (NG-042); self-employed unsecured loans peak at 10–11% bad (NG-015). A signal that works is worth a lot.

Plausible, not proven: the pilot's first test

If saving predicts repayment, the player with deeper savers wins on credit. If it doesn't, this is a thin-fee lead business. Test it first.

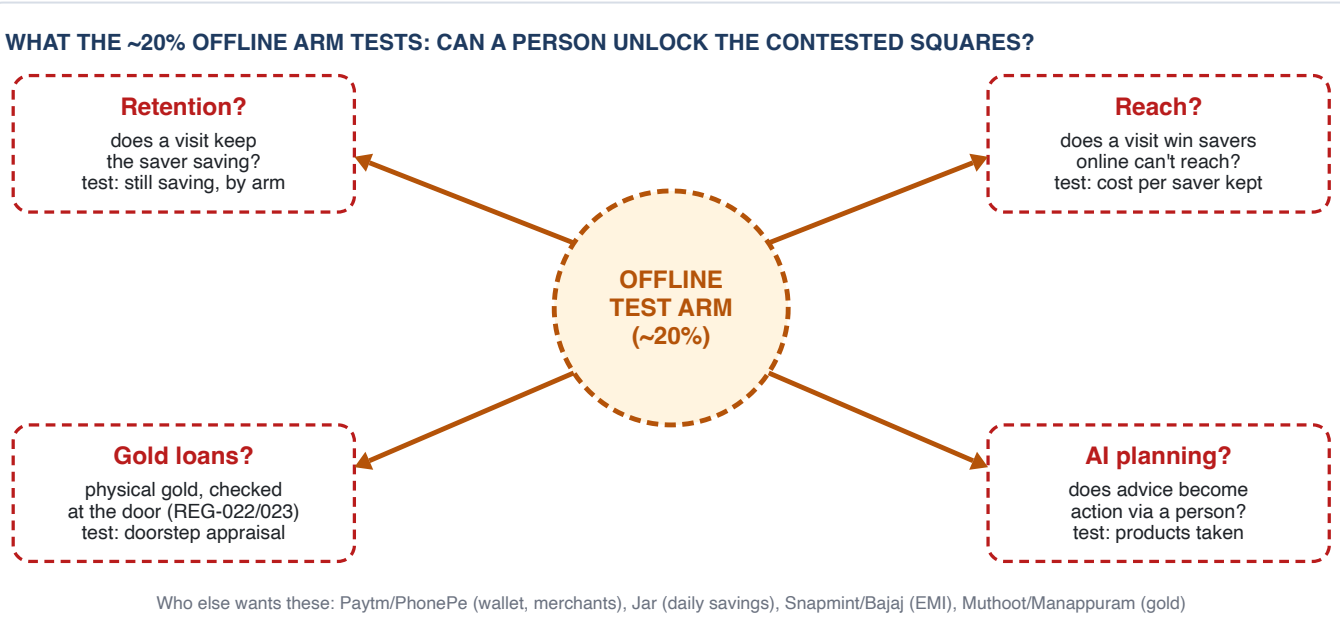
4 · Who else is here, and what they might do





We can't out-reach PhonePe or out-spend Jar. Our room is depth: committed savers in one segment, and the assisted lane no app plays in.

5 · Offline is a 20% test, not the bet



Who else wants these: Paytm/PhonePe (wallet, merchants), Jar (daily savings), Snapmint/Bajaj (EMI), Muthoot/Manappuram (gold)

WHY OFFLINE IS A TEST: A DOORSTEP VISIT COSTS ~14× WHAT THE FUND PAYS



A co-op bank can pay its collectors because it LENDS the deposits; a fund distributor earns only the trail. So the offline arm must pay its way through credit, or cost far less per visit. That is what the 20% tests.

Sources: NG-041 (commission capped at 2.5%, was 3–4%), XB-04. One co-op collector we spoke to: 200–400 savers, ₹200–500 a day, most saving 5+ years, salary ₹15–25k + under 2% (IV-01/03/11/13). The ₹350-a-day saver is our illustration.

Offline is Bachatt's empty square. We test it on ~20% of savers and grow it only where it pays for itself, mostly through credit.

6 · The challenger's slide: same map, different ground

Challenger model

Same three columns · online-first, with a ~20% offline test

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Debt-fund savings (match) TABLE STAKES	✓ Same fund shelf (no digital gold) TABLE STAKES	✓ Lean DSA + digital (match) TABLE STAKES
✓ Online-first: app + UPI daily SIP TABLE STAKES	✓ Habit: app nudges; agent visits OFFLINE TEST	✓ AI planning in the app CONTESTED
✓ ~20% offline agents, 1 city OFFLINE TEST	✓ Save in / out on fund rails CONTESTED	✓ Credit from the savings record OUR EDGE
✓ Loans: partner → risk-share → own book CONTESTED	✓ Never hold money TABLE STAKES	✓ Gold loans: doorstep appraisal OFFLINE TEST

Vision → the daily money partner for cash earners: save, withdraw, borrow, protect; online first, a person where it pays

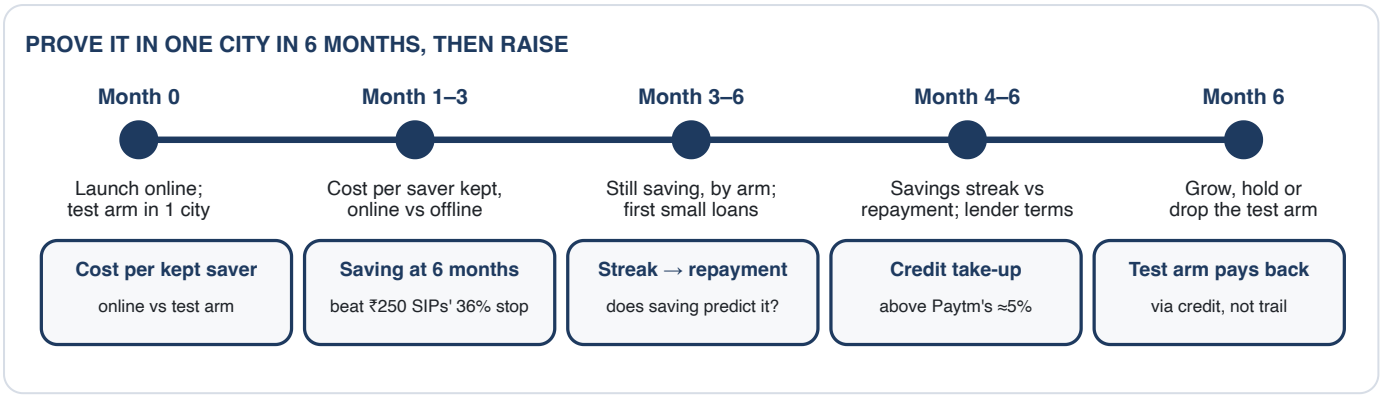
Power move: committed savers + their savings record → credit quality an app built for sign-ups can't match

TABLE STAKES: match Bachatt online in 6–9 months

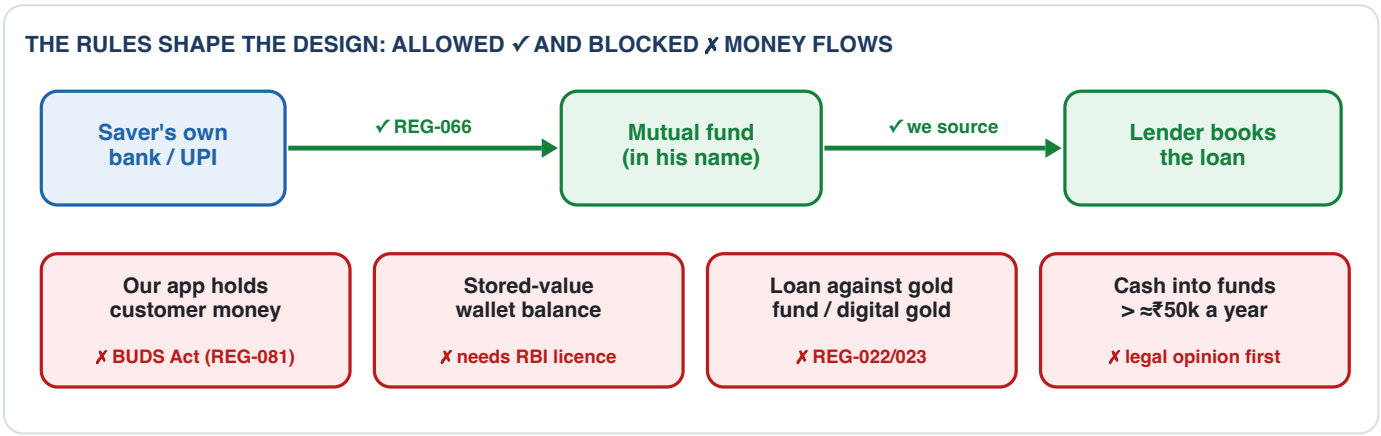
OFFLINE TEST: ~20% of savers, grows only if it pays

CONTESTED: wallet, AI, credit, gold loans

OUR EDGE (to prove): savings record → better credit



7 · Rules and decisions



Decisions for us

① Online-first, with a ~20% offline test arm: agreed?

② Segment: shopkeepers and vendors first? (vendors saved 2.2× drivers, NG-040)

③ Credit path: DSA → share risk → LSP → NBFC. When, and who leads?

④ Kill lines for the 5 pilot gates, agreed now

Sources

IDs are rows in our research files. Bachatt and Jar figures are company claims. "Our estimate", "our read" and "derived" mark items that are not published facts.

ID	What	Source
BAC-02/04/05, XB-03, XB-10, XL-12	Bachatt claims: ~3M users, ₹50 crore+ invested, product shelf, loans up to ₹5 lakh via partner NBFCs on behaviour data	bachatt.app; press release
QM-45	About $16M raised ($4M seed + $12M Series A, Accel)	Entrackr
NG-032, NG-033, NG-034	Bachatt discloses no retention; SBI ₹250 daily SIP: 35.6% of FY26 starts stopped by year-end; Chhoti SIP ~20k closures vs ~28k additions a month	Bachatt; SBI MF RHP via Business Standard; SEBI
LEV-040, NG-038, JAR-06/07/11, SAV-08	Jar ~22 saves a month and 1M+ a day → ~7% of registered active (derived); PhonePe merchants ~24% monthly active; Jar 35M registered, profitable, P2P test; PhonePe Daily Savings with Jar from ₹10 a day	Deccan Chronicle; TechCrunch; Inc42; Medianama; PhonePe DRHP
EVD-01, EVD-02, EVD-03	US credit-builder RCT: no average effect, 39% late; app data predicted credit for no-history borrowers (Mexico); SHG NPA 2.05% vs microfinance 8.72%	CFPB/RFS; NBER w33208; NABARD
NG-042, NG-015, XB-06	55% of new small-business borrowers new to credit; self-employed unsecured loans peak 10.2% 90+ (NBFC 11.1%); Paytm 7.5 lakh financial-services customers of 1.51 Cr merchants	TransUnion CIBIL; CRIF; Paytm Q4 FY26
NG-041, NG-040, IV-01/03/11/13	Pigmy agent commission capped at 2.5% of collections (was 3–4%); Kenya: vendors deposited 2.2× drivers; one co-op collector: 200–400 savers, ₹200–500 a day, most 5+ years	Indian Cooperative; Dupas & Robinson (2013); our interview, 15 Oct 2026
REG-036/037, REG-039, REG-041	ARN ₹40,000; NISM ₹1,500; trail only on regular plans (liquid ≈8 bp); instant redemption ≤ ₹50,000 / 90% a day	AMFI, NISM, SEBI
REG-022/023, REG-066, REG-081	No loans against gold ETF/MF units or digital gold; MF payments from the investor's own account; BUDS Act	RBI; SEBI; India Code
XB-04, XL-13, XL-09, XL-29	Debt-fund trail 0.2–0.5%; DSA 1–2.5%; Paisabazaar ≤ 4.6%; personal-loan average ₹58,522	AMC blogs; GroMo; PB Fintech; CRIF
SE-05, XB-07, LEV-061, LEV-026, LEV-030	Paytm 4.5–5% per loan; LSP with DLG ~11% gross, ~8–9% net; Stashfin NIM 21.3%, credit cost 8–10%, RoMA 1.2%; fintechs buying NBFCs	Paytm; Moneyview RHP; ICRA; The Painted Stork
QM-12, TB-18, LEND-02	PhonePe 25,657 field staff + 31,000 agents; Groww cost to acquire ₹796 → ₹1,374; Kissht 53.2M registered	PhonePe DRHP; Entrackr; OnEMI RHP